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**THERE WAS PALPABLE** excitement in March 2019 as a new asset class was taking birth. It was finally time for the launch of the initial public offering (IPO) of Embassy Office Parks REIT (real estate investment trust), which marked a partnership between real estate major Embassy Group and private equity giant Blackstone.

By the time the IPO ended on March 20, 2019, the issue had garnered a subscription of 2.5 times, with the non-institutional segment seeing 3.10 times subscriptions. This was the first REIT offering to hit the Indian market, even though the asset class had existed elsewhere for some time.

REITs typically own a diversified portfolio of real estate assets, which may include commercial buildings, shopping malls, apartments, hotels, or even infrastructure projects. REITs allow individuals to

invest in large-scale, income-generating real estate without actually having to buy, manage, or finance any properties themselves.

There are four listed REITs in India now—Brookfield India Real Estate Trust, Embassy Office Parks REIT, Mindspace Business Parks REIT, and Nexus Select Trust—having received timely boosts from regulatory changes.

In fact, those changes have attracted some controversy recently after US-based short-seller Hindenburg Research alleged that Madhabi Puri Buch, the Chairperson of capital markets watchdog Securities and Exchange Board of India (Sebi), had a conflict of interest in the matter since her husband Dhaval was employed by Blackstone as a consultant. Buch has refuted this.

But it's not been smooth sailing for REITs. Sebi had allowed REITs in 2014, but there was almost no interest. Around the time of the Embassy REIT IPO, Sebi eased the minimum investment threshold to ₹50,000 from ₹2 lakh earlier. That and a few other tweaks have ensured that there's no longer any shortage of interest in REITs.

In fact, the horizon of the REIT landscape is about to expand with the introduction of small- and medium REITs and their extension beyond office spaces and malls to emerging sectors like data centres.

## CRASH AND AFTER

What REITs hadn't bargained for was the Covid-19 pandemic. With offices shutting down and employees working from home, the demand for office space crashed, occupancy rates dropped, and rental income dwindled. In the meantime, Embassy had companies in retail-focussed Nexus Select Trust that had an IPO later in 2019 and Mindspace Business Parks REIT, which went public in 2020. A year later, in February 2021, they

## SEBI TWEAKS

THE CAPITAL MARKETS  
REGULATOR HAS MADE  
MANY AMENDMENTS  
SINCE 2019



**MINIMUM  
APPLICATION  
VALUE:** Reduced  
from ₹50,000 to a  
range of  
₹10,000-15,000



**SPONSOR HOLD-  
ING:** Reduced mini-  
mum requirement  
for holding from 25%  
to 15% in initial three  
years after listing



**BORROW-  
ING LIMIT:**  
Increased from  
49% to 70%  
of the value of  
REIT assets